A Framework for Implementing a Conveyancing Tracking System for Transfer of Properties in Malaysia

1. Literature Review

1.1 Overview of Conveyancing in Malaysia

1.1.1 Conveyancing in Malaysia

Conveyancing in Malaysia refers to the legal process of transferring of property ownership, be it from the seller to the buyer or when discharging a legal charge from the existing Financier to the property owner upon the borrower finished paying his housing loan to the Financier. This process involved many areas of laws, such as the National Land Code, Contracts Act, Probate & Administration Act, etc.

The aim is to ensure that the buyer's or owner's interests will be registered as the legal owner or proprietor which is the Torrens System by registration.

Unlike some countries like Australia, China and other parts of the world where selling and buying of properties are regulated by its government with some statutory forms or format, in Malaysia the selling and buying of properties are very much governed by the freedom to contract, save and except for those housing properties which comes under the Housing Development Act, where the Housing Ministry will regulate all properties which are under constructions by the Developers to ensure completion and hand over to the buyers. As such, the involvement of legal advice and law firms in conveyancing is unavoidable.

1.1.2 Types of Conveyancing involved in Malaysia

In Malaysia, conveyancing encompasses various types/aspects such as transfer of properties by way of love and affection, transfer, by inheritance, by sale and purchase, etc., by and large most transfer is by way of a sale and purchase agreement where there is a consideration (ie. Money) payable. Even in a sale and purchase transaction, there are sub-category of either purchasing directly from the Developer or those ready property which transaction is loosely called "sub-sale". It is a subcategory under conveyancing which the expression 'sub-sale' seems to connote either an integrated or dovetailed arrangement or agreement whereby the vendor sells or disposes to the purchaser (Yew, 2023).

1.1.3 Time is of Essence

Just in any type of business transaction, in conveyancing too time is always the main factor in every property dealing. "Time of Essence" is a legal term that is commonly used in conveyancing and real estate contracts. It refers to the amount of time that parties involved in a contract have to fulfil their contractual obligations. This principle that emphasizes the strict and punctual adherence to specified timelines and deadlines in a property transaction.

The principle of time of essence is particularly relevant in conveyancing due to the complexity and multiple stages involved in property transactions. From the negotiation of the sale and purchase agreement to the completion of property searches, payment of taxes and fees, and registration of the transfer, each step is time sensitive (Ibrahim, Mohd Yusof, & Mohd Jamil, 2022).

Several performance aspects are time-sensitive, including the option time frame, document delivery, notices, termination methods, and the closing date. The execution date is the basis for all dates mentioned in the contract. Due to the importance of time, not meeting specific deadlines can result in significant consequences, including breach of contract and potentially severe legal consequences. (UpCounsel, n.d.).

Time is the essence of the contract in a property sale and purchase contract in Malaysia. In a court case between Lee Cheong Fah v Soo Man Yoke [1996]2MLJ 627,628, it was held by the court that "A contracting party is entitled under the law to insist on time to be of the essence of the contract ..." (LEE CHEONG FAH v SOO MAN YOKE [1996] 2 MLJ 627, 1996).

In another court case between Kang Yoon Mook Xavier v Insun Development Sdn Bhd [1995]2MLJ 91, it was further held by the court that "As time was provided to be the essence of the agreement, the stipulated time period within which the house had to be delivered to the purchaser become an essential condition of the agreement.

As the developer was in breach of this condition,..the purchaser entitled to elect either to rescind the agreement and sue for damages by virtue of SS.56(1) and 65 of the Contracts Act 1956 or to treat the agreement as continuing and sue for damages as envisaged under S.76 of the Contracts Act 1950.." (KANG YOON MOOK XAVIER v INSUN DEVELOPMENT SDN BHD, 1995).

1.2 Overview of Tracking Systems

A tracking system is a software or tool that enables a real-time monitoring and tracking of various activities, processes, or events. In Malaysia, tracking systems are used in various industries, including healthcare, transportation, supply chain, package and parcel tracking system (Rathod, Sheikh, Mudholkar, & Vaidya, 2022).

1.2.1 File Tracking System (FTS)

Administrative offices are becoming paperless in today's computerised age, with no more stacks of files. This improvement assists governing bodies in resolving difficulties in a timely manner while avoiding stagnant use. File Tracking System is a step towards achieving the concept of a paperless office.

The File Tracking System (FTS) captures and documents attachments and assignments associated with the file. A comprehensive record of the File Movements and the corresponding actions performed on the file is kept. FTS provides a transparent view of the file's progress during the approval process.

According to (Krasniqi, 2013), a File Tracking System is a web application that facilitates efficient file flow management by tracking the movement of files from one workstation or room to another. Any workstation or room is capable of receiving and transmitting requests and making decisions without restriction. The system employs a unique numbering procedure for files and facilitates file administration, file status monitoring, and file movement tracking, among other functions.

1.2.2 Existing Tracking Systems in Other Industries

In context of implementing a conveyancing tracking system for transfer of properties in Malaysia, the following industries can be referenced to gather insights on existing tracking system frameworks that allow buyers, sellers, and other parties to monitor the progress of the conveyancing from the starting point where a contract is signed until the delivery of property and release of payment to the parties, and it will also allow the parties to rack document progress in efficient way.

a. Logistic and Supply Chain Industry

The logistic and supply chain industry provides an excellent example with DHL, a global company renowned for its advanced tracking system that enables customers to monitor shipments in real-time. Drawing inspiration from DHL’s principles, a similar tracking approach in conveyancing could provide stakeholders with real-time updates on the progress of property transfer (Shamsuzzoha & Helo, 2011).

b. E-Commerce and Online Retail Industry

Amazon utilizes sophisticated tracking systems to keep customers informed about their orders' status. By implementing a comparable tracking system in conveyancing would offer transparency and timely updates to all parties involved in property transactions (Doversberger, 2010).

c. Healthcare Industry

Epic Systems Corporation excels in providing electronic health record systems with robust tracking capabilities. The incorporation of healthcare-inspired tracking features into the conveyancing tracking system enables continuous progress monitoring during property transfer (Kamel Boulos & Berry, 2012).

1.2.3 Criteria for Designing a Conveyancing Tracking System

The criteria for designing a conveyancing tracking system for property transfer in Malaysia are essential to ensure effectiveness and success.

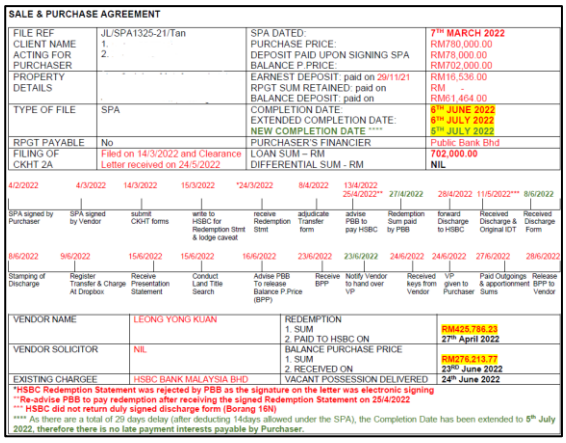
The system must provide real-time tracking capability, enabling immediate updates on the progress of property transfer documents. This approach inspired by the logistics and supply chain industry which allows stakeholders including buyers, sellers, and legal firms to access accurate status information promptly (Shamsuzzoha & Helo, 2011).

Moreover, taking cues from the E-commerce and online retail industry, the tracking system should prioritize transparency and timely updates. All parties involved in the property transaction should have access to clear and up-to-date information about the various stages of conveyancing such as document submissions and approvals (Goll & Bolte, 2020).

Drawing insights from the robust tracking systems used in the healthcare industry, the conveyancing tracking system should process comprehensive capabilities to monitor and manage the entire conveyancing process with a key emphasis on the concept of "Time is of the essence". This means that the system should be designed to track and highlight crucial milestones and deadlines during the property transfer process.

In the event that the buyer or seller faces delays in their part of the transaction, the system should promptly notify all parties involved and raise awareness of the potential penalties or consequences for missing the agreed-upon timelines.

1.2.4 An Example of Framework for Conveyancing Tracking Systems



SALE & PURCHASE AGREEMENT

FILE REF CLIENT NAME ACTING FOR PURCHASER	JL/SPA1325-21/Tan 1. 2.	SPA DATED: PURCHASE PRICE: DEPOSIT PAID UPON SIGNING SPA BALANCE P.PRICE	7TH MARCH 2022 RM780,000.00 RM78,000.00 RM702,000.00
PROPERTY DETAILS		EARNEST DEPOSIT: paid on 29/11/21 RPGT SUM RETAINED: paid on BALANCE DEPOSIT: paid on	RM16,536.00 RM - RM61,464.00
TYPE OF FILE	SPA	COMPLETION DATE: EXTENDED COMPLETION DATE: NEW COMPLETION DATE ****	6TH JUNE 2022 6TH JULY 2022 6TH JULY 2022
RPGT PAYABLE	No	PURCHASER'S FINANCIER	Public Bank Bhd
FILING OF CKHT 2A	Filed on 14/3/2022 and Clearance Letter received on 24/5/2022	LOAN SUM – RM DIFFERENTIAL SUM - RM	702,000.00 NIL

4/2/2022	4/3/2022	14/3/2022	15/3/2022	*24/3/2022	8/4/2022	13/4/2022 25/4/2022**	27/4/2022	28/4/2022	11/5/2022***	8/6/2022		
SPA signed by Purchaser	SPA signed by Vendor	submit CKHT forms	write to HSBC for Redemption Stmt & lodge caveat	receive Redemption Stmt	adjudicate Transfer form	advise PBB to pay HSBC	Redemption Sum paid by PBB	forward Discharge to HSBC	Received Discharge & Original IDT	Received Discharge Form		
8/6/2022	9/6/2022	15/6/2022	15/6/2022	16/6/2022	23/6/2022	23/6/2022	24/6/2022	24/6/2022	27/6/2022	28/6/2022		
Stamping of Discharge	Register Transfer & Charge At Dropbox	Receive Presentation Statement	Conduct Land Title Search	Advise PBB To release Balance P.Price (BPP)	Receive BPP	Notify Vendor to hand over VP	Received keys from Vendor	VP given to Purchaser	Paid Outgoings & apportionment Sums	Release BPP to Vendor		

VENDOR NAME	LEONG YONG KUAN	REDEMPTION 1. SUM 2. PAID TO HSBC ON	RM425,786.23 27th April 2022
VENDOR SOLICITOR	NIL	BALANCE PURCHASE PRICE 1. SUM 2. RECEIVED ON	RM276,213.77 23RD June 2022
EXISTING CHARGEE	HSBC BANK MALAYSIA BHD	VACANT POSSESSION DELIVERED	24th June 2022

*HSBC Redemption Statement was rejected by PBB as the signature on the letter was electronic signing
** Re-advise PBB to pay redemption after receiving the signed Redemption Statement on 25/4/2022
*** HSBC did not return duly signed discharge form (Borang 16N)
**** As there are a total of 29 days delay (after deducting 14days allowed under the SPA), the Completion Date has been extended to 5th July 2022, therefore there is no late payment interests payable by Purchaser.

Based on Figure 1 illustrate a conventional

Figure 1: Manual update of Sales and Purchase

tracking system of sales and purchase in conveyancing. According to this layout, the researcher would use this to implement into automated tracking system in the future.

1.2.5 Challenges and Limitation implementing Tracking System in Conveyancing

Implementing a tracking system in conveyancing involves several aspects that come with their own set of challenges and limitations. Considerations include data security and privacy, technical integration complexity, cost management, and complexity of conveyancing process. Effective navigation of these challenges is crucial for a successful and efficient tracking system in the conveyancing process.

a. Data Security and Privacy

Conveyancing involves personal and financial information of buyers, sellers, and other parties involved. Designing a tracking system that ensures data security and privacy is crucial to protect the confidentiality of the information. Compliance with data protection laws and regulations adds complexity (Ducato, 2020).

b. Complexity of Conveyancing

Conveyancing involves stakeholders and sources of data and information. Integrating and consolidating data from various systems and sources can pose complexity and challenges. Ensuring accuracy and consistency of integrated data is crucial for the effectiveness of the tracking system .

c. Cost Management

Implementing a tracking system can be costly, requiring investment in technology infrastructure, software, and personnel. Managing costs effectively is crucial to ensure that the benefits of the tracking system outweigh the expenses.

d. Technical Integration

Implementing a tracking system requires a technology infrastructure that is robust and reliable. Challenges may arise in terms of system compatibility, integration with existing systems, and ensuring the accuracy and reliability of tracking data. Technical expertise and resources are necessary to overcome these challenges (Doversberger, 2010).

1.3 Similar systems

1.3.1 Lexis WinDeed DOTS (Deeds Office Tracking System) ADT (Automated Document Tracking)

Lexis WinDeed DOTS ADT is an automated document tracking system offered by Lexis WinDeed, a leading online search tool for property, person and company information in South Africa (LexisNexis, n.d.).

The DOTS ADT system automatically tracks documents through the registration process and sends a daily email of status to the user. This system is designed to improve the efficiency and transparency of the conveyancing process by providing real-time updates and alerts to all parties involved (LexisNexis, n.d.).

1.3.2 Clio

Clio is a cloud-based legal practice management system that assist lawyers in managing their cases, clients, and finances. It is one of the most popular legal software solutions in the market, widely used by a large user base across numerous countries.

The software is designed to help lawyers manage their law firms with confidence and run their practice from one central location. Clio offers a comprehensive case management software that meets the needs of law firms and their clients. The software offers features such as legal document management, billing, contract management, invoice management, and time tracking aligns with the needs of legal professionals (GetApp, 2023).

1.4 Comparison Table

Table 1: Comparison table

Similar System / Features/ Functions	**Lexis WinDeed DOTS ADT**	**Clio**
Property Search	✓	✓
Document tracking	✓	✓
Communication	✓	✓
Time-tracking		✓
Biling and Invoicing		✓
Real-time updates	✓	✓
Reporting and Analytics		✓
Deadline Management	✓	✓

Based on Table 1, present software applications that have similar features to those in the proposed software applications of this research. While both of these systems share some common features in their software application, they lack the necessary complexity and appeal to effectively attract users. Besides that, according to the table, it shows that not every software has the same feature, it has its own unique function and feature to be fulfilled. Therefore, the study will take this into consideration to develop software that includes all the features mentioned above.

2. Research Methodology

In this section is a critical component of any study as it outlines the systematic approach and techniques employed to collect and analyse data, ensuring the achievement of research objectives. In the context of this study, a research methodology has been designed to address the challenges in the current conveyancing process and propose an efficient tracking system.

2.1 Identify Respondents

The respondents targeted for this survey are individuals involved in property transactions in Malaysia, including property buyers and sellers. These respondents were selected as they possess valuable insights into the conveyancing process and can provide relevant information about their experiences, challenges, and expectations during property transactions.

2.2 Sample Size

Around 80 individuals from various profession will participate in the survey, including students/housewives, professionals (e.g., Lawyers, Doctors, Engineers, Accountant, etc), retired employee, salespersons, entrepreneurs, and real estate negotiators. This is done to ensure that the responses from Malaysian states are heard equally, without favouring any particular one.

2.3 Sampling method

A stratified sampling method, which falls under complex probability sampling, can be employed in this research. The primary reason for employing this strategy is that the study will take a quantitative approach with participants from a variety of vocational backgrounds (Elfil & Negida, 2019). Typical respondents such as people who buying/selling properties, real estate negotiator and others.

The survey method will be used to categorise the population into subgroups and categories based on comparable characteristics. To ensure the accurate representation of subgroups or categories, an equal number of respondents will be collected from each subgroup or category. The use of this sampling method has the potential to enhance precision and mitigate sampling bias.

2.4 Data collection method

A survey is a collection of questions utilised in human subject research for the purpose of gathering information from a particular sample population. Surveys can be conducted via various methods such as phone, mail, online and on street corners. Survey data will be analysed statistically after collection to ensure accurate study results. (QuestionPro, 2022).

The data collection for this research project will involve the use of survey. The survey questions will be concise, straightforward, and easily comprehensible for respondents of all age groups. Surveys will be conducted online using a platform. Data collection will be accurate, reducing the chances of encountering problematic or missing data during the survey. Additionally, by utilizing WhatsApp, email and Messenger, the survey aims facilitate faster data collection and enable a broader reach to respondents throughout Malaysia.

2.5 Data Analysis and Visualization

There are total of 19 questions in a survey, including 7 dichotomous questions (Yes/No), a nominal question, 2 categorical question, 2 ordinal question, a Likert-style question, 2 multiple choice question, 2 Open-ended question. After the survey questions have been produced, preliminary pilot testing will be performed prior to delivering the survey questions to respondents. This means that specialists will assess the survey and provide feedback on its representativeness and usefulness (Fraser, Fahlman, Arscott, & Guillot, 2018).

The responses to the question will result in the respondents' opinion of the proposed system as well as other suggestions to improve the idea. The descriptive analysis method will be used by the researcher to assess and interpret the results. A statistical method that is used to describe, summarize, and interpret data is descriptive analysis (Thompson, 2009). Descriptive analysis is a crucial method for researchers to gain a comprehensive understanding of the survey responses and derive meaningful insights related to the conveyancing process and the potential implementation of a tracking system for property transfers in Malaysia.

In order to gain a better understanding, the interpreted information will be presented graphically such as pie chart and graphs. The following will be present below this section:

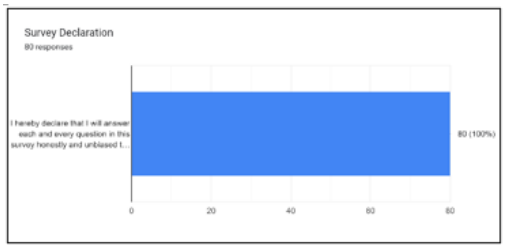


Figure 2: Survey Declaration Consent

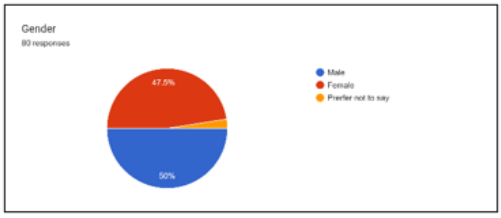


Figure 3: Gender

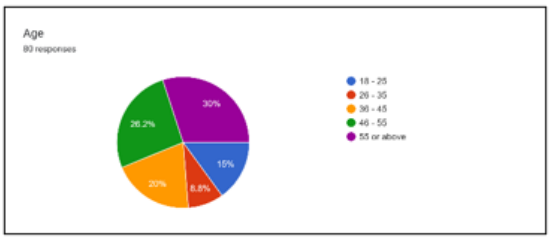


Figure 4: Age

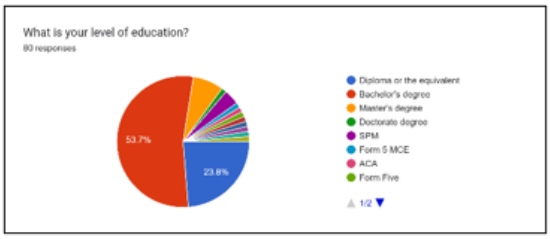


Figure 5: Level of Education

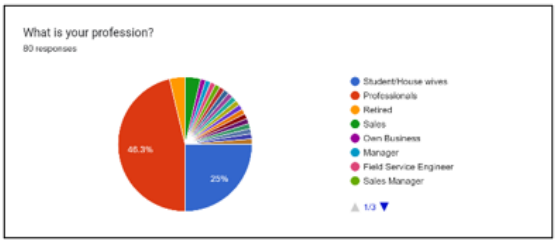


Figure 6: Profession

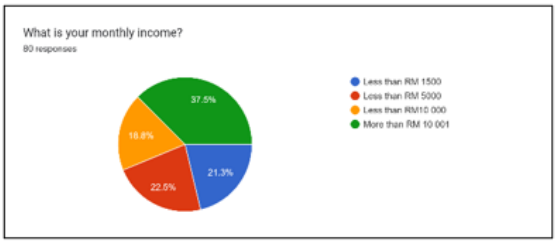


Figure 7: Monthly Income

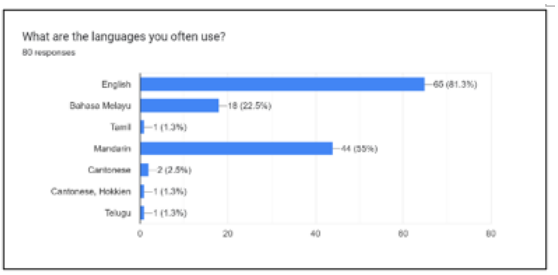


Figure 8: Languages often use

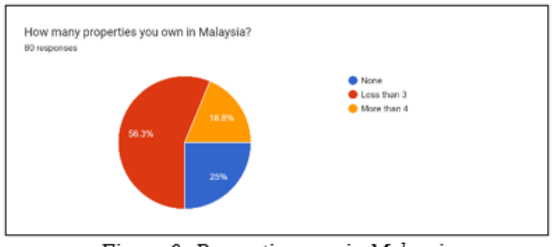


Figure 9: Properties own in Malaysia

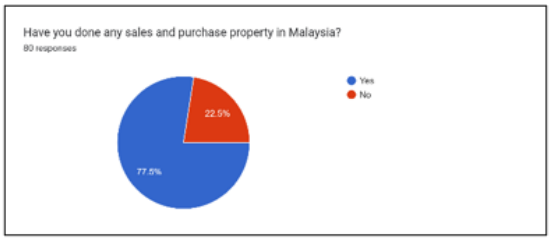


Figure 10: Done any sales and purchase property in Malaysia

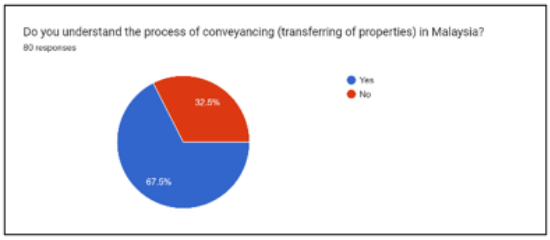


Figure 11: Understanding the process of conveyancing (transfer of properties) in Malaysia

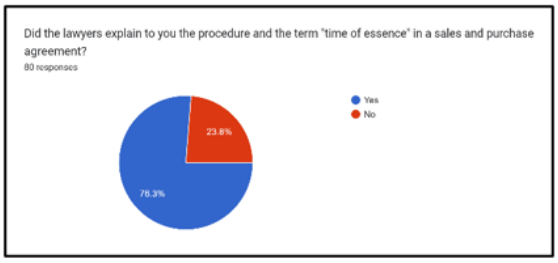


Figure 12: Does lawyers explain the procedure and the term "time of essence" in sales and purchase agreement?



Figure 13: Awareness of a breach of "time of essence" in the sales and purchase agreement

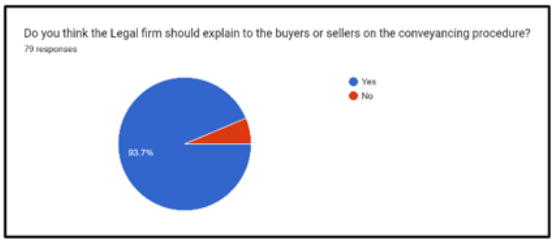


Figure 14: Should a legal firm explain to the buyers or sellers on the conveyancing procedure?

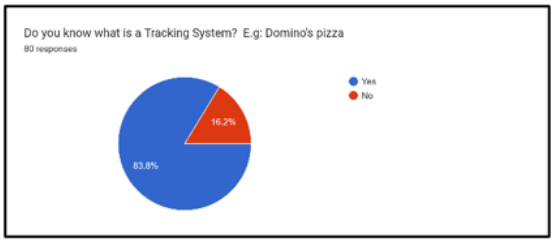


Figure 15: What is Tracking Systems?

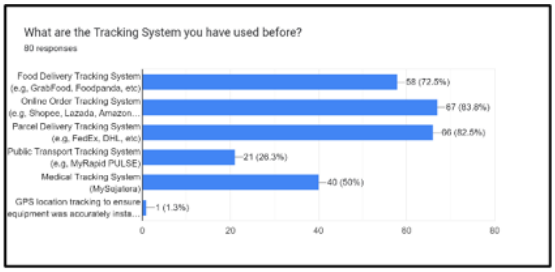


Figure 16: Tracking System that been used before

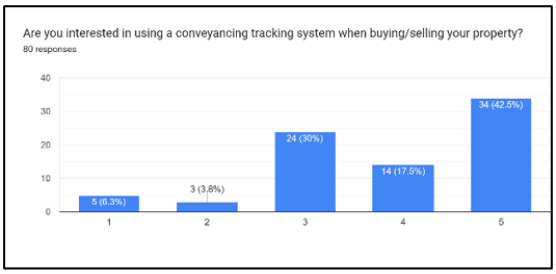


Figure 17: Interested in using a conveyancing tracking system when buying/selling properties

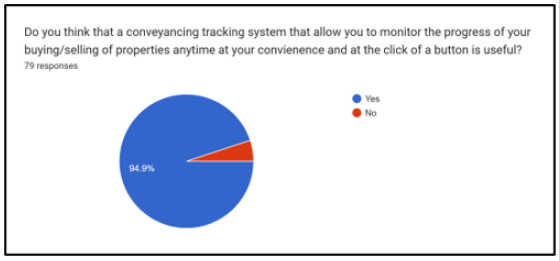


Figure 18: Is it useful to have a conveyancing tracking system that allow user to monitor the progress of buying/selling of properties?

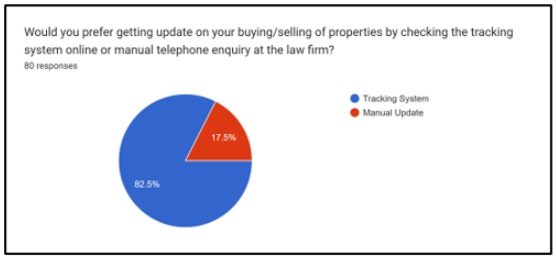


Figure 19: Preference on getting a tracking system online or manual enquiry from user

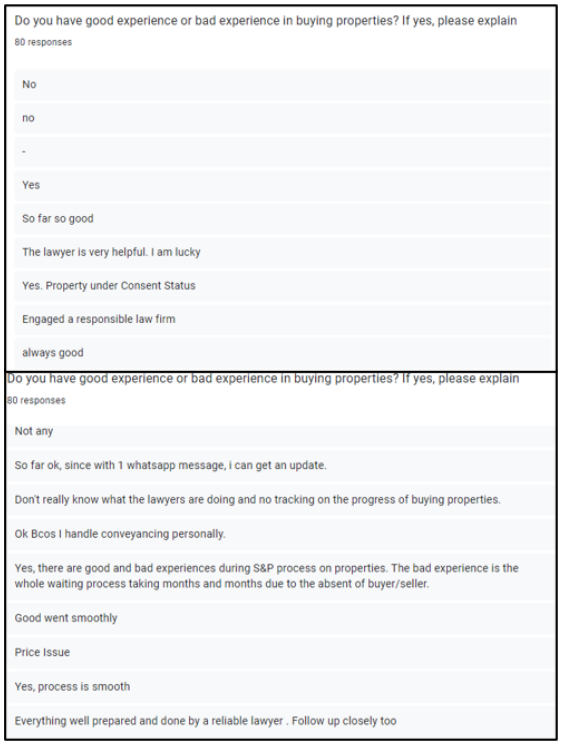


Figure 20: Do you have good experience or bad experience in buying properties? If yes, please explain

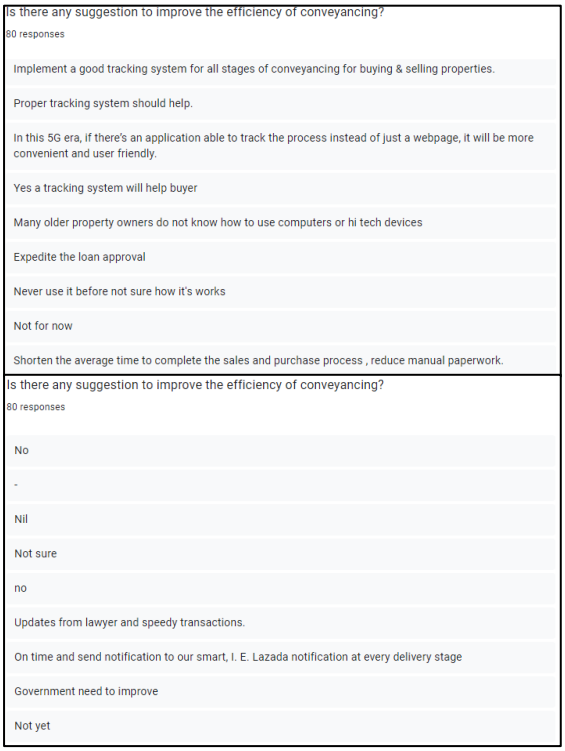


Figure 21: If there any suggestion to improve the efficiency of conveyancing?

Conclusion

In conclusion, this proposal has to be taken into consideration as it outlines a comprehensive framework for implementing a conveyancing tracking system. The system's emphasis on real-time updates and adherence to timelines ensures an efficient conveyancing process, avoiding potential delays and legal complications. By prioritizing time as a crucial element, the tracking system enables timely completion of property transactions, benefiting all parties involved.

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